Approved: October 16, 2026

Charter of the Tokenomics Committee

Objectives and Areas of Authority of the Tokenomics Committee

Where recommendations are referred to below, the reference is to recommendations to the Canton Foundation Board of Directors unless otherwise specified

- Goal and Purpose. The primary goal of the Committee is to monitor, model, and propose adjustments to the token omics of the Global Synchronizer. In support of this goal, the Committee shall:
  - Oversee matters relating to the tokenomics of the Canton Network to support the long-term health, utility, and sustainable operation of the network.
  - Review and make recommendations relating to token emissions, reward structures, participant classifications, network economic parameters, and other tokenomics-related matters.
  - Exercise authority delegated to the Tokenomics Committee by the Board of Directors.
- Scope
  - Review the structure and operation of Canton Network token emissions and reward mechanisms.
  - Review and recommend changes to reward weights, allocations, eligibility requirements, locking requirements, classifications, or other tokenomics-related parameters.
  - Review applications and proposals relating to Validators, Featured Apps, Super Validators, and other network participant classifications within the Committee's authority.
  - Review Canton Improvement Proposals that affect tokenomics, token emissions, reward mechanisms, participant eligibility, participant classifications, Super Validator participation, Featured App status, or other matters within the Committee's scope.
  - Recommend how the Canton Foundation should vote on Canton Improvement Proposals, including Super Validator applications, subject to Board of Directors approval where required.
  - Vote on behalf of the Canton Foundation only where specifically authorized by the Board of Directors.
  - Review and consider recommendations from the Featured App Accountability Committee, Super Validator Accountability Committee, and other applicable committees or working groups, and, where appropriate, recommend Super Validator governance action, including suspension, reinstatement, removal, weight adjustment, reclassification, remediation, or other action warranted under applicable network requirements.
  - Review and recommend policies, procedures, and guidance relating to network tokenomics and participant classifications.
  - Consider tokenomics-related matters referred or delegated to the Committee by the Board of Directors.
  - Coordinate with other committees where matters overlap with accountability, technical operations, governance, legal, finance, security, or other areas of Foundation responsibility.
  - Report material findings and recommendations to the Board of Directors as appropriate.
  - Undertake such other tasks or roles as the Board of Directors may from time to time delegate or assign.

Membership and Roles

- The Tokenomics Committee will consist of up to five regular voting members appointed by the Board of Directors.
- At least one voting member will be a representative of the Board of Directors.
- The Board of Directors may appoint up to three alternate voting members.
- In addition to the three alternate voting members, the Committee will include one non-voting observer from the Super Validator Accountability Committee (SVAC) and one non-voting observer from the Featured App Accountability Committee (FAAC). Each observer must represent an organization that is not represented by a regular or alternate voting member of the Tokenomics Committee.
- Unless otherwise specified by the Board of Directors, members and alternates will serve one-year terms and may be reappointed. Members and alternates may be removed by the Board of Directors in its sole discretion.
- If a voting member,alternate or observing member resigns, is removed by the Board of Directors, becomes unable to serve, or no longer meets such eligibility requirements as the Board of Directors may from time to time establish, the Board of Directors may appoint a replacement for the remainder of that member's term.
- The Committee may recommend candidates for open voting member or alternate seats, but appointments remain subject to Board of Directors approval.

- The Chair and a Vice Chair of the Committee will be appointed by the Board of Directors unless otherwise determined by the Board of Directors.
- If a Chair or Vice Chair has not been appointed by the Board of Directors, the Committee may elect a Chair or Vice Chair from among its voting members, who shall serve at the pleasure of the Board of Directors.
- The Chair, Vice Chair, or, in the absence of either, another facilitator designated by the Committee will lead meetings, manage agendas, and track follow-ups.

Alternates

- Alternate voting members may attend and participate in Tokenomics Committee meetings regardless of whether a regular voting member is absent.
- Alternate voting members may vote only when serving in place of an absent, unavailable, or recused regular voting member.
- If multiple alternates are eligible to vote, they will serve according to any priority order or procedure established by the Board of Directors or Committee.
- If a regular voting member abstains from a vote but is otherwise present and eligible to participate, the abstention does not permit the alternate to vote.
- If a regular voting member is recused, an eligible alternate may participate in the vote in that member's place.

Observers and Guests

- Canton Foundation members may participate in Tokenomics Committee meetings unless the Committee determines that a closed session is required.
- Legal counsel, subject matter experts, Foundation staff, representatives of other committees, applicants, proposal authors, or other guests may attend meetings as permitted by the Chair.
- Participation as an observer or guest does not confer voting rights.
- The Committee may enter a closed session where necessary to discuss confidential, sensitive, privileged, security-related, commercially sensitive, or participant-specific matters.
- Participation in a closed session may be limited to voting members, eligible alternates, Foundation staff, legal counsel, or other individuals whose participation is reasonably necessary as determined by the Chair, or, in their absence, the Vice Chair.

Meetings

- The Tokenomics Committee will hold regular standing meetings as determined by the Committee.
- Additional meetings may be scheduled by the Chair, or, in their unavailability, by the Vice Chair, as needed for urgent reviews or time-sensitive matters.
- Meeting agendas should be circulated in advance where practical.
- Actions of the Committee should generally proceed through:
    - Presentation or referral of a matter to the Committee.
    - Discussion of the matter in a Committee meeting or approved asynchronous process.
    - Vote, recommendation, or documented consensus, as applicable.
- Topics may be discussed informally before a meeting, but formal decisions and recommendations must be documented through the Committee's established process.
- Minutes of meetings will be maintained and shared with the Board of Directors following Committee review and approval.
- Meeting attendees, except for the authorized minute taker, may not make recordings or use AI bots, transcribers, and meetings will otherwise comply with the Canton Foundation AI Policy.

Decision-Making

- The Tokenomics Committee will strive for consensus where practical.
- A quorum of at least three regular and/or eligible alternate voting members must be present and non-recused for decisions to be made.
- Unless another threshold applies under this Charter, decisions and recommendations will be made by a simple majority of eligible voting members participating in the vote.
- Validator, Featured App, Super Validator, and Canton Improvement Proposal matters may be subject to specific voting or quorum requirements established by applicable policies, CIPs, or Board of Directors resolutions.
- Matters requiring Board of Directors approval will be referred to the Board of Directors following Committee review.
- Unless otherwise expressly authorized by the Board of Directors, the Committee does not have authority to adopt resolutions or make decisions binding on the Canton Foundation.

- All material recommendations and decisions must be documented and shared with the appropriate governance body.

Asynchronous Votes

- Asynchronous votes may be called by (i) the Chair, or in the event of their unavailability, by the Vice Chair, or (ii) requested by a voting member, if approved by the Chair or, in their unavailability, by the Vice Chair and shall be conducted according to procedures established by the Committee.
- An asynchronous vote should identify:
    - The matter being voted upon.
    - The applicable voting threshold as determined by this Charter.
    - The voting deadline.
    - Supporting materials reasonably necessary to evaluate the matter.
- Alternate voting members may vote asynchronously only when properly serving in place of an absent, unavailable, or recused regular voting member.
- Applicable quorum, voting, recusal, and Board of Directors approval requirements continue to apply to asynchronous votes.
- The result of any asynchronous vote must be documented and reported to the Committee.

Conflicts, Recusal, and Confidentiality

- Committee members and alternates must disclose actual or potential conflicts of interest before deliberations.
- A member must recuse from discussion or voting where required by applicable Canton Foundation policies or Committee procedures.
- An eligible alternate may participate in place of a recused regular voting member.
- The Committee may adopt additional recusal rules, privacy guidelines, confidentiality requirements, evidentiary standards, and procedures as necessary to carry out its responsibilities, subject to approval by the Board of Directors.
- Confidential or sensitive information received by the Committee must be handled in accordance with applicable Canton Foundation policies.
- Access to confidential information shall be limited to individuals whose participation is reasonably necessary for the applicable review or decision.
- Where appropriate, the Committee may rely on a recommendation, certification, or redacted summary from another committee without requiring broader disclosure of underlying confidential information.
- All activities of the Committee shall comply with the Canton Foundation Antitrust Policy and Checklist.

Accountability and Transparency

- The Tokenomics Committee will document material recommendations, decisions, votes, recusals, and material conflict disclosures.
- Recommendations should include the basis for the recommendation, the applicable policy, CIP, guidance, or requirement, and relevant supporting analysis.
- The Committee shall share material recommendations and decisions with the Board of Directors or another applicable governance body.
- The Committee should maintain sufficient transparency to support confidence in its processes while protecting confidential, sensitive, privileged, security-related, or participant-specific information.
- Applicants, proposal authors, and affected participants should receive reasonable notice of material Committee decisions relating to their submissions or status.

Working Groups

- The Tokenomics Committee may form standing or ad hoc subordinate committees, subcommittees, or working groups to undertake reviews or make recommendations within the Committee's scope.
- Such bodies may include committees established to review specific participant classifications or compliance matters.
- Subordinate committees and working groups shall only have such authority as is expressly delegated to them through applicable governance processes, which shall in no case exceed the authority granted to the Committee under this Charter or as expressly delegated to them by the Board of Directors.
- Recommendations from subordinate committees or working groups must be reviewed or acted upon by the Tokenomics Committee, Board of Directors, or other applicable body where further approval is required.

Relationship to the Board of Directors

- The Tokenomics Committee operates under authority delegated by the Board of Directors.

- The Committee shall report material findings, recommendations, and decisions to the Board of Directors as appropriate.
- The Board of Directors may delegate additional tokenomics or network governance matters to the Committee from time to time.
- Matters outside the Committee's delegated authority will be referred to the Board of Directors or another appropriate governance body.
- Nothing in this Charter limits the authority of the Board of Directors.
- The remit of the Committee will be reviewed by the Board of Directors at least once every twelve months to determine whether the Committee should continue and, if so, in what form.

Amendment

- This Charter may be amended by a vote of no fewer than three members of the Committee, subject to Board of Directors approval.